

RISK MANAGEMENT PLAN

ITRUSTU

YOUR CONFIDENCE, OUR COMMITMENT



EXECUTIVE OVERVIEW

The COVID-19 pandemic has introduced pressures our existing risk management plan must now address, alongside ongoing threats from cyber and economic areas. A risk management plan allows us to anticipate these disruptions, protect our obligations to stakeholders, and direct resources to where they reduce our exposure most.

Our Riskiness Index assessed our current exposure across four areas: Finance, Infrastructure, Reputation and Marketing (FIRM). Our overall riskiness index is 55 out of 80. Marketing carries the greatest exposure (15), followed by Reputation (14) and Infrastructure and Financial (13 each). Our clearest strength is the availability of funds, as supported by Tiva and our strong market share while our greatest exposures lie in internal controls, reserve adequacy, and IT capacity.

Our Risk Agenda sets out how we will respond to these findings, prioritizing stable operations before further growth. We will focus resources on essential services, secure remote work and financial resilience, accepting carefully managed implementation risks within agreed limits. The crisis leadership team will coordinate this response through clear responsibilities, reporting procedures and weekly reviews during the first three months, adjusting priorities and resources as conditions change.

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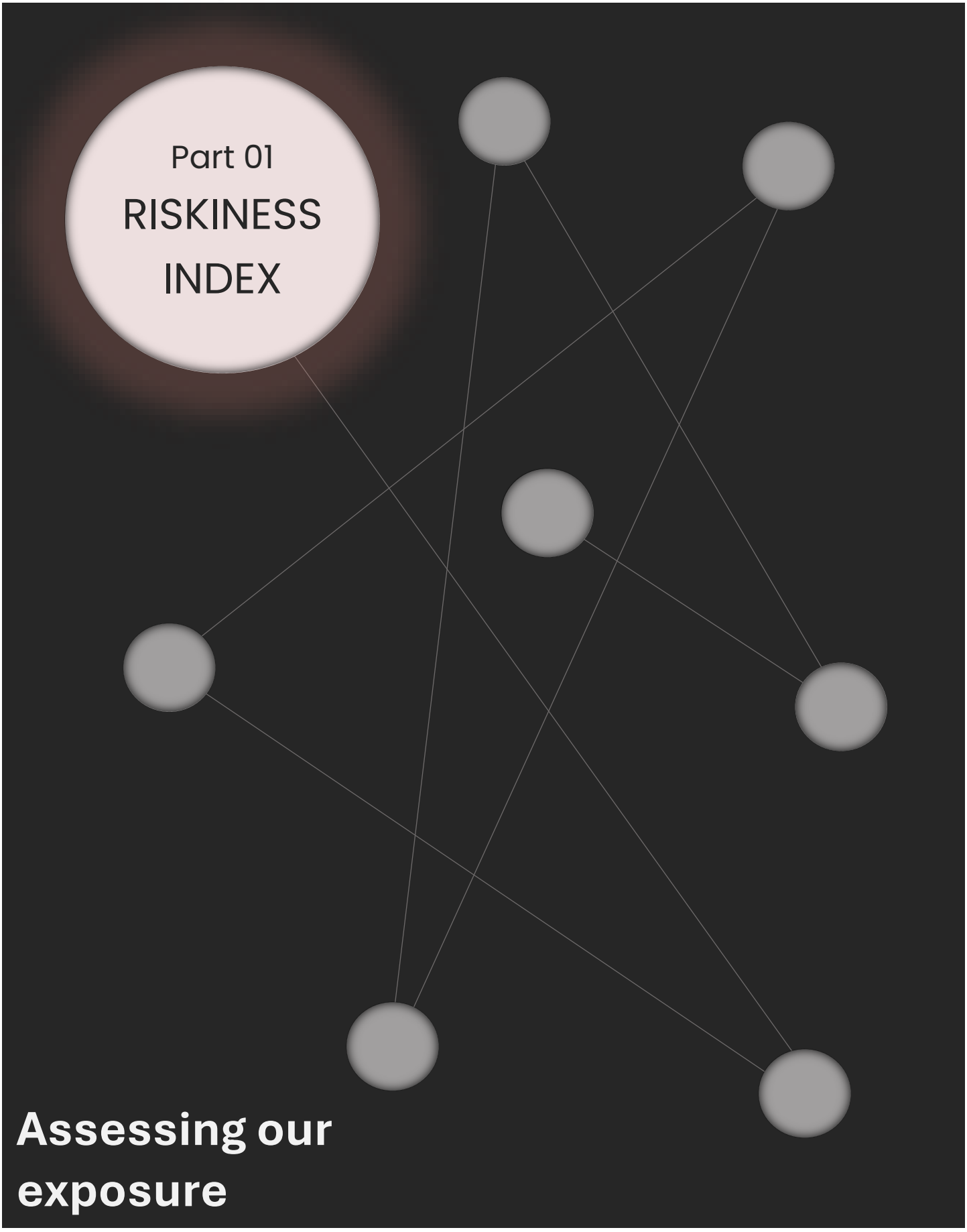
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Part 01

RISKINESS INDEX



Assessing our exposure

BACKGROUND AND PURPOSE

ITrustU operates from Mississauga, Ontario, as part of the Tiva insurance group, providing insurance and pension products to individuals and small businesses. Our core operations include policy sales, premium collection, claims processing, customer account management, and the investment of premiums to support operating costs and claim payments. These activities depend on our employees, technology systems, and third-party service providers.

The COVID-19 pandemic has introduced challenges that our existing risk management plan did not anticipate. We must assess how changes in staff availability, working arrangements, customer needs, and economic conditions affect our ability to maintain operations and meet our obligations to policyholders. These pressures exist alongside ongoing threats such as cyberattacks, technology failures, and disruptions to third-party services.

Our plan focuses on four elements of the organization using the FIRM framework: Financial, Infrastructure, Reputation, and Marketing. As the first stage of our pandemic risk management plan, this riskiness index assesses our current exposure within each element. The findings will help guide our immediate response, prioritize resources, and support the crisis leadership team being established to coordinate pandemic plan implementation.

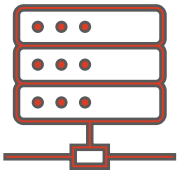




FINANCIAL



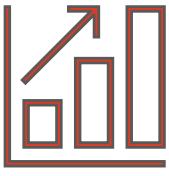
INFRASTRUCTURE



REPUTATION



MARKETING



FINANCIAL RISK

FUNDING ALLOCATION

ItrustU belongs to Tiva, the sixth largest insurance group in the world. It collects premiums in advance from a very large customer base in Ontario that gives it a steady flow of investable funds. The pandemic creates some critical new funding needs: a crisis leadership team and a pandemic plan. Beyond that, there is a need to put measures in place to reduce exposure to various risks in the present and beyond. Premiums are invested in assets like Canadian stocks, bonds, real estate and precious metals to cover the cost of business and insurance claims. ItrustU also holds two kinds of liability: short-term Property & Casualty (P&C) claims like car, home, and travel, and long-term life and pension obligations.

Given our portfolio, there is a good chance that ItrustU would have liquidity problems as equities, real estate and precious metals are volatile assets and slow to sell. In times of crises, P&C claims need cash quickly to pay out to claimants. Stocks and precious metals can be sold quickly but the risk with them is being forced to sell at a loss during a downturn. To combat a worsening economy, it is reasonable to anticipate a cut in interest rates to drive investment, which could also affect longer product plans. Since every holding is Canadian, any regional or national dip will hit both assets and claims at the same time. There is a risk that bank partners could delay or not remit premiums altogether or reinsurers would not be in a position to pay recoveries and bond issuers may default on any dividends they expected to receive.

We are also concerned about where funds are dedicated. Cyber is listed as one of the main risks the company plans to mitigate against yet has no dedicated cyber-security staff. The current assessment is that resources appear disproportionately distributed to the risks that the company is concerned with. On paper, the company, in its current position and standing, will be able to treat most financial vulnerabilities in a pandemic economy, depending critically on how quickly they can move their assets.

INTERNAL CONTROLS

ItrustU currently collects all premiums, processes claims and quotes through their website, mobile app and internal systems. As a result, they are susceptible to a litany of cyberattacks that can have significant financial implications: direct theft through fraudulent claims payouts and payroll diversion; ransomware and recovery costs; data loss and its legal costs; regulatory penalties; a tech outage would stop premiums collection and claims payment at the same time. Six people currently cover IT and networking for 50 desktops, on-site servers and the internal network. Hosting, backups and security advice are outsourced. A six-person team likely cannot provide round-the-clock monitoring. Control therefore depends on vendors the company does not directly manage. The switch to remote work during a pandemic increases the likelihood of vulnerability and decreases the strength of defending it.

LIABILITY MANAGEMENT

ItrustU writes both P&C and life/pension products. In the industry, reserves are typically the largest liability on the balance sheet. With one in three Ontario households insured, adverse weather conditions like ice storms or floods will affect a large share of the clients at once. In July 2013, Ontario recorded a record rainfall that insurers coughed up $940m to reimburse—making it the most expensive insured natural disaster in Ontario's history. Given the liquidity issues mentioned above, any reserve or float they're required to have may not be able to cover paying out large claims. Travel, medical, and cancellation claims are all going to rise at the same time. Falling interest rates will also increase the value of pension and annuity obligations while reducing investment income; any increase in the value of pension will apply both to the company's product and its own employees. The key for financial risk management here is to weigh the costs and benefits of liquidation of certain assets for immediate relief (even at a loss) to sustain the company independent of the health of the parent company or government intervention. Survival strategies may include taking on further liabilities to identify and create pathways for stable cash flow amid rising claims.

Finance Riskiness Index

CODE	DESCRIPTION	SCORE
1.1	Lack of availability (or unacceptable cost) of adequate investment funds	2
1.2	Inadequate procedures for allocation of funds to available opportunities	3
1.3	Poor internal financial controls to prevent fraud and control credit risks	4
1.4	Insufficient reserves for existing and historical liabilities (including pensions)	4
	TOTAL FOR FINANCE COMPONENT	**13**

INFRASTRUCTURE RISK

PEOPLE SKILLS

The onset of the COVID-19 pandemic is changing our employees' working routines and creating a need to adapt to remote working arrangements. Without an established plan for working from home, staff productivity may decline, reduced in-person interaction may create communication difficulties, and employees may struggle to resolve problems or access company resources. Illness and isolation may also reduce staff availability, while specialized roles in IT, claims processing, and customer support can be difficult to replace on short notice.

To reduce this risk, we should establish clear remote-work procedures as part of our pandemic response. These procedures should include appropriate tools, training, and secure access to company resources so that employees can continue performing their responsibilities effectively.

INADEQUATE EQUIPMENT

Pandemic-related restrictions may limit access to our buildings and equipment, creating challenges for employees whose work normally depends on office-based resources. Our current equipment includes approximately 50 desktop computers and only a few laptops, which will limit our ability to support widespread remote work. Providing suitable, company-managed equipment and secure access to our systems is therefore an immediate consideration. Our premises and on-site servers also require continued maintenance while access may be restricted.

To manage this exposure, we should assess employees' equipment needs, prioritize essential roles, and establish procedures for distributing and supporting remote-work equipment. We should also arrange for essential maintenance and authorized access to our premises and servers during restrictions.

IT RESILIENCE

The transition to remote work increases our dependence on reliable technology and secure access to company resources. Without adequate safeguards, such as a VPN, secure file sharing, access controls, data loss prevention measures, and employee training, we may face greater exposure to cyber threats, data loss, and reputational damage. We should verify whether existing safeguards can support the scale and demands of remote work.

Our technology infrastructure includes on-site servers, an internal network, and an internet connection through an external provider. These dependencies may create service bottlenecks or points of failure as more employees connect remotely. A prolonged loss of IT or network services could severely disrupt claims processing, premium collection, and customer support.

IT resilience is the highest-rated risk within this infrastructure assessment. We should prioritize secure remote access, test system capacity and recovery arrangements, develop reliable and iterative auditing protocols, and ensure employees understand and follow security procedures.

PRODUCT AVAILABILITY

Our ability to provide insurance products and related services depends on functioning software, hardware, and communication systems. When a failure occurs, employees need to coordinate service restoration and investigate its cause. Remote working arrangements may make this coordination more difficult, particularly if key staff are unavailable or cannot access on-site equipment.

We also depend on third-party providers, including our internet service provider, cloud provider, security consultants, and mailing, printing, and shredding services. These organizations may face their own staffing shortages, operating restrictions, and financial pressures during the pandemic. This could result in delayed service schedules, reduced capacity, or temporary or permanent business closures. For example, disruption to our shredding provider could delay the secure disposal of confidential records, requiring us to arrange secure temporary storage and find an alternative vendor. We should assess critical suppliers' ability to maintain services and identify suitable replacements in case existing providers can no longer meet our needs.

Our product mix may shift as travel restrictions reduce new travel insurance sales and changes in vehicle use affect automobile coverage needs. Enquiries about life insurance, home coverage, and pension plans may increase, although greater interest does not necessarily translate into additional sales. We should monitor new business, renewals, cancellations, and policy adjustments to identify changes in revenue and product concentration.

This assessment rates product availability risk as medium. Our service-based business model reduces our dependence on physical inventory, while cloud backup offers some protection against data loss. However, neither ensures uninterrupted service. We should establish crisis management and disaster recovery procedures suited to remote work and maintain reliable communication channels for coordinating our response.

INFRASTRUCTURE RISKINESS INDEX

CODE	DESCRIPTION	SCORE
2.1	Availability or cost of people skills, competencies and experience	4
2.2	Inadequate premises, plant and equipment to support operations	1
2.3	Processes, including IT infrastructure, have insufficient resilience	5
2.4	Product availability inadequate, including supplier unreliability	3
	TOTAL FOR INFRASTRUCTURE COMPONENT	**13**

REPUTATION RISK

PUBLIC PERCEPTION AND THE ITRUSTU BRAND

The initial phase of the pandemic is critical to our reputation. We may need to manage an increase in claims for certain products while transitioning employees to remote work. Travel insurance is a particularly sensitive area, as widespread travel cancellations could generate increased claims, enquiries, and disputes over coverage. With just over 50 employees, we may struggle to manage this sudden workload. Delayed responses and unclear explanations could damage customer trust.

Economic uncertainty and job losses may also place our customers under financial pressure. Some may seek to reduce their coverage, defer premium payments, or access retirement savings where permitted. We should provide clear information about available options and their consequences. Insensitive communication or inconsistent treatment could harm our reputation during a period when customers are already vulnerable.

ETHICAL AND CORPORATE RESPONSIBILITY

Misinformation surrounding the pandemic may create confusion about insurance coverage and our response to changing conditions. We should provide accurate, consistent information about policy terms, exclusions, and any changes to our services. Unclear or misleading statements could undermine trust and prevent customers from making informed decisions.

We also have a responsibility to consider employee well-being as working arrangements change. Moving suitable roles to remote work may help reduce exposure to illness, but the sudden transition may contribute to stress, isolation, and difficulties balancing work and personal responsibilities. We should assess the need for additional mental health support, regular check-ins, and flexible working arrangements. Insufficient support could affect employee well-being and confidence in our leadership.

REGULATION AND COMPLIANCE

The pandemic places additional pressure on our ability to meet compliance expectations while maintaining essential services. Increased workloads and staff absences may contribute to processing errors, delayed claims handling, and incomplete records. We should monitor these pressures and ensure that changes to our working arrangements continue to support our obligations.

Our equipment includes approximately 50 desktop computers and only a few laptops, meaning that our existing arrangements primarily support office-based work. A rapid transition to remote work may increase the risk of unauthorized access, inappropriate information sharing, or exposure of customer data if suitable safeguards are not in place. We should verify that remote access, company devices, and cloud services adequately protect confidential information. Failures in these areas could attract regulatory scrutiny and damage customer confidence.

PRODUCT QUALITY AND SALES SERVICE

The pandemic may change customer demand across our insurance and pension products. Reduced travel and vehicle use could lead customers to question their existing coverage or request adjustments. At the same time, concerns about health, household finances, and retirement savings may increase enquiries about life insurance, home coverage, and pension plans. We should be prepared to explain available options and maintain consistent service as customer needs change.

Staff shortages and remote working arrangements may affect our ability to provide timely advice, process policy changes, and resolve claims. Supply chain disruptions and labour shortages may also delay repairs or replacement services associated with home and vehicle claims. These delays could affect customers' experience even when the underlying disruption occurs outside our organization.

We should communicate expected service timelines clearly, explain relevant coverage limits, and provide updates when delays occur. Failure to manage these expectations could lead customers to view our products and after-sales service as unreliable.

REPUTATION RISKINESS INDEX

CODE	DESCRIPTION	SCORE
3.1	Poor public perception of the industry and/or organization brands	4
3.2	Insufficient attention to ethics and corporate social responsibility	3
3.3	High regulator involvement and compliance expectations	3
3.4	Concerns over product quality and/or after sales service	4
	TOTAL FOR REPUTATION COMPONENT	**14**

MARKETING RISK

REVENUE AND INVESTMENTS

The onset of the pandemic places pressure on both our premium revenue and investment returns. Economic uncertainty may reduce customers' ability to purchase or maintain coverage, while travel restrictions could sharply reduce demand for new travel insurance policies. Reduced vehicle use may also lead customers to request premium adjustments or explore less expensive coverage.

Our small business clients may face reduced revenue, temporary closures, and difficulty meeting ongoing expenses. These pressures could lead to requests for premium deferrals, coverage reductions, or cancellations. Business owners may also experience a loss of household income that affects their personal insurance and retirement contributions.

Our investment portfolio includes Canadian stocks and bonds, real estate, and precious metals. Market volatility could reduce asset values, while lower interest rates may reduce the income available from new fixed-income investments. These conditions could affect our ability to generate sufficient returns to support operating costs and insurance obligations. Our investment portfolio also requires review as market conditions change. Lower investment income and potential liquidity needs may affect how we allocate funds. Any proposed adjustments should be assessed against our claims obligations, liquidity requirements, and risk appetite, with the detailed analysis addressed in the financial component.

We assess this risk as high. While our range of products provides some diversification, we cannot determine how much protection our reserves provide.

COMPETITION AND CHANGING TECHNOLOGY

The pandemic increases the importance of accessible digital services as customers and employees reduce in-person interactions. Customers may favour insurers that offer convenient online purchasing, policy changes, claims submission, and support. Competitors able to adapt quickly could attract customers who experience delays or limited service through our channels. Reduced vehicle use may also increase interest in flexible pricing and usage-based insurance. We should assess whether our products and systems can respond to these changing expectations.

Our website and mobile application provide an existing digital presence. However, our reliance on approximately 50 desktop computers, only a few laptops, and on-site systems may constrain employees' ability to support these channels remotely. Having customer-facing technology does not necessarily mean that our underlying processes can accommodate increased online demand.

Given that the high speed of change may exceed our current capacity to adapt. Our existing digital channels provide a foundation, but we must assess their functionality, capacity, and integration with remote working arrangements.

ECONOMIC HEALTH AND POLITICAL STABILITY

The pandemic threatens Canadian economic activity through business restrictions, employment disruption, and reduced consumer spending. These conditions may affect customers' ability to pay premiums, increase requests for payment flexibility, and reduce demand for new policies. Our concentration in Ontario and investments in Canadian assets expose us to related pressures across our customer base and investment portfolio.

Canada's established political institutions provide a measure of stability. Government support may also help households and businesses maintain income and meet financial obligations, although its reach and effectiveness remain uncertain at this stage. However, given the global nature of our parent organization, sovereign economic health could severely impact its operational functionality.

We assign significant economic uncertainty alongside a comparatively stable political environment. This rating requires ongoing review as the duration of restrictions, employment conditions, global response, and effectiveness of support measures become clearer.

SUPPLY CHAINS AND MATERIAL COSTS

Although we do not manufacture physical goods, we depend on external service providers and the availability of materials and labour needed to settle certain claims. Pandemic disruption may therefore affect both our operating capacity and claims costs.

Given the identified risks that exist for our third-party vendors, such as staffing shortages, reduced capacity, or business closures, that may occur at the same time that our reliance on their services continues, disruption could interrupt customer service, delay policy administration, or require us to secure alternative vendors at additional cost.

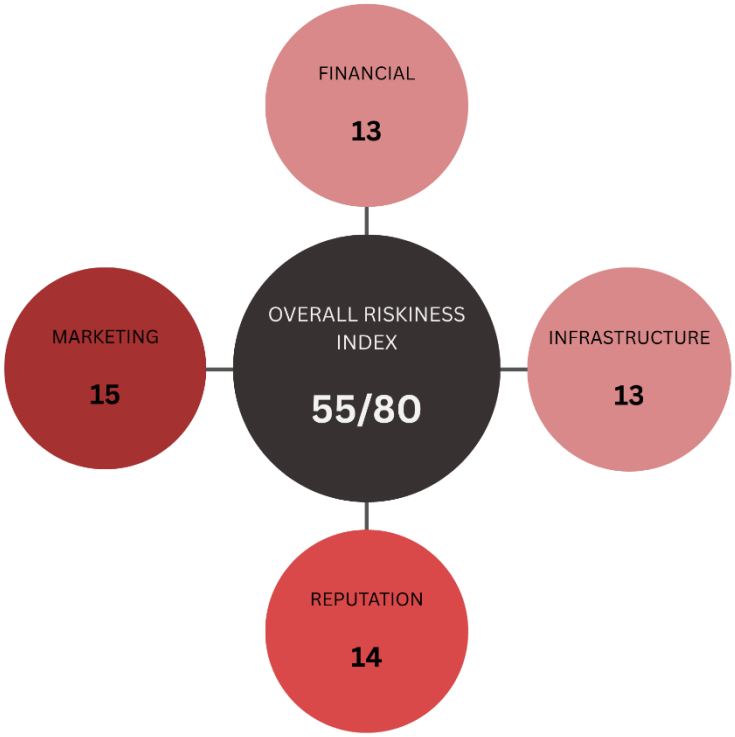
Property and vehicle claims may also depend on repair services, inspections, replacement parts, and construction materials. Restrictions and shortages could delay settlements or increase costs beyond the assumptions used when policies were priced.

These disruptions may affect several dependencies simultaneously. Alternative providers may be available, but replacement arrangements can take time, and widespread shortages may limit our options.

MARKETING RISKINESS INDEX

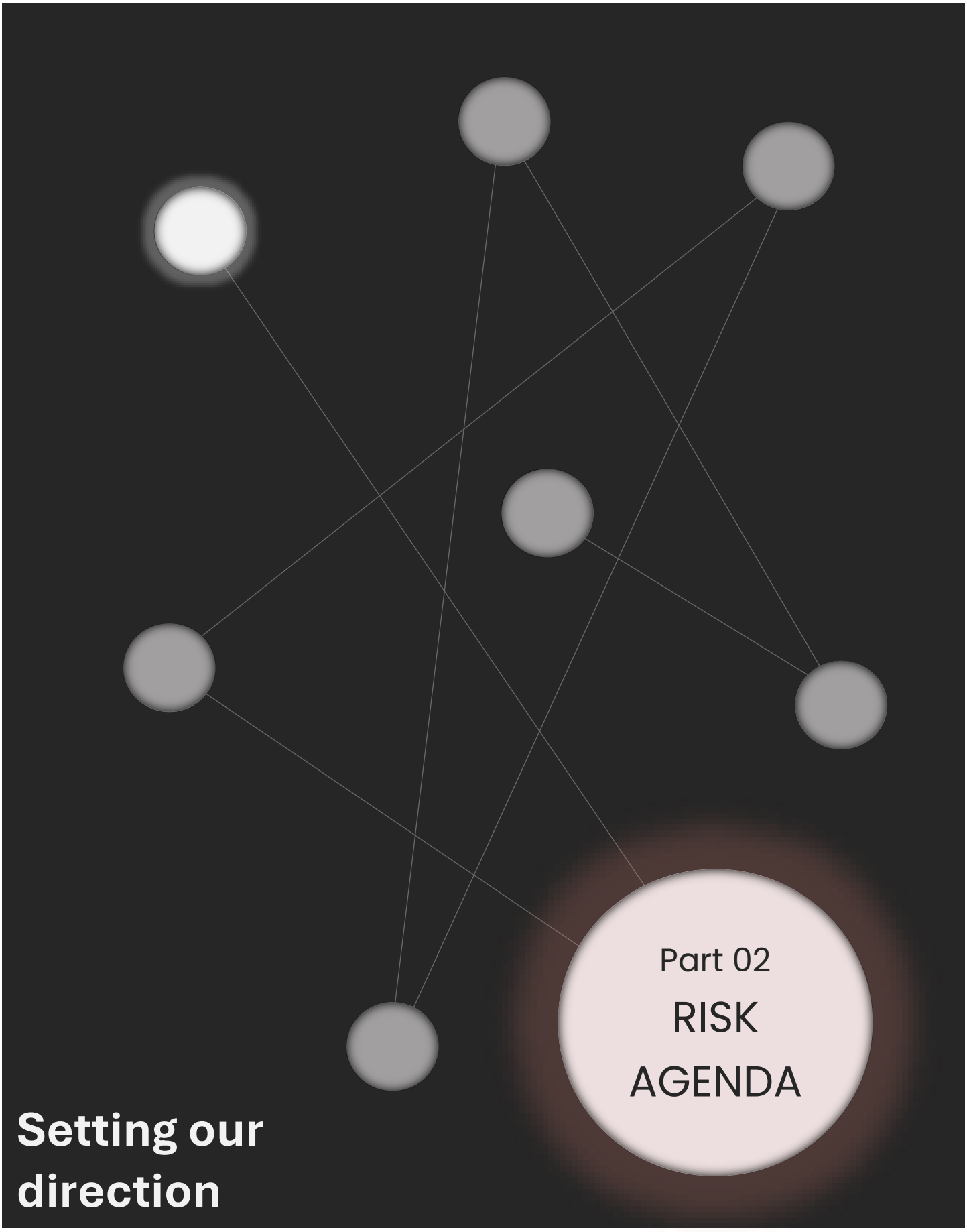
CODE	DESCRIPTION	SCORE
4.1	Insufficient revenue generation or inadequate return on investment	4
4.2	Competitive marketplace and/or rapidly changing product technology	4
4.3	Poor sovereign economic health and/or lack of economic or political stability	3
4.4	Complex supply chain and/or unpredictable raw materials costs	4
	TOTAL FOR MARKETING COMPONENT	**15**

OVERALL RISK ASSESSMENT



Our riskiness index totals 55 out of a possible 80, comprising Financial risk at 13/20, Infrastructure at 13/20, Reputation at 14/20, and Marketing at 15/20. This indicates substantial exposure across the four components, with many individual risks rated medium or high. Marketing has the highest component score, reflecting pressure on revenue, changing customer expectations, digital competition, and supplier disruption. IT resilience receives the highest individual rating at 5/5 and requires immediate attention.
These risks are closely connected. Technology failures, cyber incidents, staff shortages, or vendor disruption could interrupt claims processing and premium collection while compromising customer information and trust. At the same time, investment volatility, reduced premium income, and claims obligations may place pressure on liquidity and reserves. Delayed service or unclear coverage explanations could further damage our reputation and customer retention.
Our priorities should therefore be to strengthen secure remote working and internal controls, assess liquidity and reserve adequacy, support essential staff, and confirm continuity arrangements with critical suppliers. Clear customer communication and adaptation to changing demand are also necessary. Targeted investment in people, systems, and vendor oversight should guide the next stage of our pandemic risk management plan, with scores reviewed as conditions and available information change.





Setting our direction

RISK MANAGEMENT CONTEXT

ITrustU is a multi-product insurance company operating in Ontario, Canada, with just over 50 employees across different functions. We are part of the Tiva insurance group and provide insurance and pension products to individuals and small businesses. Membership in Tiva may provide access to additional expertise or resources, although the availability of that support requires confirmation. Our small workforce supports a substantial customer base, and our operations depend on technology and third-party services. Our operations include policy sales, premium collection, claims processing, customer account management, and investment of premiums to support operating costs and policyholder obligations.

The onset of the COVID-19 pandemic introduces pressures that our existing risk management plan did not anticipate. After completing the Riskiness Index for our company across four different segments (Financial, Infrastructure, Reputation, Marketing), our index stands at 55 out of 80. Among these four segments, our Marketing and Reputation risks score the highest, with indices of 15 and 14, followed by Infrastructure and Financial risks, which each score 13 out of 20. These results indicate substantial exposure across all four segments. IT resilience is our highest-rated individual risk at 5/5, despite Infrastructure having a lower overall total. Investment volatility, changing premium income, and claims obligations may also place pressure on liquidity and reserves. Considering the size of our company and our customer base, we should invest in mitigating risk and preparing for foreseeable disruptions.

We have several federal and provincial requirements that apply to our company across different segments. Failure to satisfy applicable regulatory standards may affect our reputation and marketplace position and expose us to regulatory action. These requirements include PIPEDA (Personal Information Protection and Electronic Documents Act; Government of Canada, 2000), Ontario insurance requirements overseen by the Financial Services Regulatory Authority of Ontario (FSRA, n.d.), and applicable anti-money-laundering obligations for our life-insurance activities overseen by FINTRAC (Financial Transactions and Reports Analysis Centre of Canada, n.d.). OSFI (Office of the Superintendent of Financial Institutions, n.d.) supervises federally regulated insurers; its applicability to ITrustU requires confirmation. These bodies have different responsibilities, so we need to identify the requirements relevant to our activities and maintain compliance as work arrangements change.

Our reliance on office-based equipment and on-site servers may limit remote access, while external providers may experience staffing shortages, delayed services, or business closures. With remote staff and a small team covering claims and IT, we could struggle to maintain essential services and effective oversight. Preparing in advance for this pivot will help. For example, staff training, secure access to company resources, and well-kept documentation could support continuity and compliance as working arrangements change. These pressures may occur together, disrupting claims processing and premium collection while affecting customer information and trust.

Overall, by updating our existing risk management plan, we can better understand our weak points and areas of exposure. Having a plan to mitigate these risks can improve our ability to respond and recover if disruptions occur, while reducing their likelihood or consequences where possible. This context guides the strategy, risk appetite, resources, and protocols developed in the following Risk Agenda sections.

RISK STRATEGY

PURPOSE AND OBJECTIVES

Our risk management strategy is to stabilize essential operations during the COVID-19 pandemic while protecting our employees, customer information, and ability to meet policyholder obligations. Our priorities are to maintain claims processing, premium collection, and customer support, with the financial resources and technology needed to keep these services running.

Growth initiatives will be postponed until our routine operations have been reorganized and stabilized. We will continue to consider investments needed to support these operations, including digital improvements that may also support future growth.

OVERALL APPROACH

We will take a proactive and coordinated approach, using the Riskiness Index to guide further assessment and decisions about resources. The timing of our response will depend on the urgency of each issue, its potential consequences, and whether other changes need to happen first. The first three months will focus on immediate needs, including workforce adjustments. Longer-term improvements may extend beyond this period, and changes that work well may become part of our ongoing practices.

Operational changes will be assessed, tested, and introduced in manageable stages. Increased use of cloud services may help employees work remotely and improve our ability to maintain services. Before making these changes, we need to consider security, costs, staff training, possible service disruption, and our reliance on external providers.

We are willing to accept some carefully managed risks when changes help us maintain essential services. These may include additional costs, time for employees to learn new systems, and limited temporary disruption. We will use controls and oversight to limit risks to employee well-being, customer information, service continuity, and our financial position.

We will avoid growth initiatives that take resources away from stabilizing operations. Changes that exceed our agreed risk limits will require further assessment and approval before proceeding. The Risk Attitude and Appetite section will define these limits.

STRATEGIC PRIORITIES

The findings of our Riskiness Index point to several priorities: secure and reliable systems, stronger financial controls, adequate liquidity and reserves, staff and supplier availability, clear customer communication, and the ability to respond to changing demand.

We also need to consider how these risks affect one another. An IT failure or supplier disruption could affect revenue, claims processing, customer information, and trust at the same time. Our priorities will therefore reflect both the index scores and the urgency and wider effects of each risk.

INTEGRATION INTO BUSINESS DECISIONS

Risk management will inform our strategy, tactics, operations, and compliance (STOC). At the strategic level, decisions about digital investment and future growth will consider what we need to maintain services and what we can afford. Tactical decisions, such as changes to remote work or suppliers, will be assessed before they are introduced. In daily operations, risk information will help us manage staffing, claims workloads, and customer service. Compliance requirements will guide how we handle information, maintain records, and meet our obligations to policyholders.

The Risk Resources section will identify what we need to support these priorities. The Risk Protocols section will explain how we assess, manage, document, and report risks. Together, these sections will help us make decisions that support our objectives and remain within our agreed limits.

LEADERSHIP AND ORGANIZATIONAL COMMITMENT

Executive management will support the strategy and establish a crisis leadership team with representatives from the relevant business functions. This team will coordinate our pandemic response and approve urgent operational changes within agreed spending, resource, and risk limits. Decisions outside its authority will be referred to executive management

Functional managers will remain responsible for risks in their areas and for identifying how their decisions may affect other departments. We will consider support from Tiva and outside specialists where additional resources or expertise would help. However, we need to confirm that this support is available and understand its terms before relying on it. Outsourcing work does not remove our responsibility for managing the associated risks.

INTENDED OUTCOMES AND REVIEW

We want our response to result in reliable services, secure remote work, manageable workloads, stronger controls, and more informed use of resources. We can assess progress by monitoring system availability, claims waiting to be processed, staffing in essential roles, secure remote access, available funds to meet obligations, and whether controls work as intended. The supporting Risk Agenda sections will establish our starting position, measurable targets, who reports the results, and how often they are reviewed.

The crisis leadership team will review progress regularly and after significant incidents or changes in conditions. Executive management will consider resuming growth when services are stable, staffing is adequate, controls are working, and our financial position can support it. Temporary arrangements that prove effective will be considered for ongoing use.

RISK ATTITUDE & APPETITE

Our primary goal is to stabilize essential operations during a critical global pandemic. We need to adapt to rapidly changing customer demand and a highly volatile market while maintaining coordinated and secure company operations as we shift to a remote workflow. We are prepared to accept carefully managed additional costs as we provide staff training to meet changing needs while limiting temporary disruptions to customer service.

Service quality may decline because of increased workloads and supply chain disruptions. Staff will need time to adapt to working from home, set up systems to the required standards, and complete necessary training. These disruptions could affect our company's reputation. Support from Tiva may help recovery, but its availability remains to be confirmed. Temporary service delays may be tolerated within approved limits.

Risks of confidential data leaks and system damage should be minimized. Security should be the priority when choosing remote-work procedures. Such incidents could have a much greater impact on our organizational reputation and finances than a slight decline in service quality. Our organization must maintain a low tolerance for gaps in essential roles. We should prioritize retaining and supporting existing employees while remaining prepared to recruit and train replacements where necessary.

Financial risk should remain within our ability to absorb losses while continuing to pay claims and fund essential operations. Our financial risk appetite depends on the assets available to absorb losses, any confirmed government funding, and the financial and technical support we can confirm with Tiva. A volatile market may require us to sell investments to meet immediate cash needs, potentially sacrificing long-term returns or realizing losses.

RISK BENCHMARK TESTS

To apply our risk appetite in practice, we need specific thresholds for the risks or negative effects we can tolerate before management attention is required. While we can tolerate minor declines in service quality, we should aim to minimize them to preserve our company's reputation and maintain our market position. We should monitor the number and age of delayed claims, customer response times, and the duration of online service interruptions. Approved limits should specify acceptable delays and maximum outages for critical services. Establishing these limits requires information about normal processing times, claims volumes, staff capacity, service obligations, and available workarounds. Management should be alerted when a limit is likely to be exceeded, particularly where delays could seriously affect customers.

We should closely monitor any additional operating costs related to the pandemic. Management should be alerted when forecasts indicate that available cash may fall below the approved level needed to pay claims and maintain essential operations, or when proposed asset sales exceed approved plans or authority.

Management should be alerted when staffing in essential roles falls below agreed minimum levels or when an anticipated gap could disrupt service quality. We should closely monitor staff availability, and the resources employees need to work from home. Infrastructure concerns should be escalated when backups or recovery tests fail, critical systems become unavailable, or services may not be restored within approved recovery limits.

ROLE OF TOP MANAGEMENT

Top management should establish and approve our risk appetite, risk limits, and decision-making authority before serious problems arise. It should clarify which actions the crisis leadership team can take independently, including reallocating staff, activating continuity arrangements, and approving spending within an agreed budget. Decisions exceeding these limits should require further approval.

Top management should not make decisions in isolation. It should consider recommendations from the crisis leadership team alongside input from claims, finance, IT, human resources, and relevant risk and compliance staff. When weighing options, management should consider the impact on customers, costs, operational feasibility, and the risks that remain after protective measures are introduced.

Management should receive regular updates on service performance, staffing coverage, financial forecasts, and security incidents. Serious incidents and anticipated breaches of approved limits should be escalated promptly. Reporting procedures should align with the Risk Protocols and Risk Resources sections and identify who must be notified, who has authority to act, and which spending or resource commitments require approval.

Finally, to management should ensure that approved responses receive adequate resources, assign responsibility for corrective actions, and monitor their effectiveness. It should confirm what support Tiva can provide and periodically review risk limits as circumstances change. Decisions and any approved exceptions should be documented to maintain clear accountability throughout the crisis.



RISK RESOURCES

Our greatest exposures are in IT and internal controls, with lesser but still significant exposures in capital and human resources. One main reason is that our resources are not proportionally allocated to these areas. We serve a large share of the Ontario market with a small workforce. No one on our staff has risk management as their main responsibility. Because the pandemic changes our risk profile quickly, it is imperative that we identify the resources we can dedicate to risk management so that we can respond as conditions change.

ALLOCATION APPROACH

The resources available for risk management are finite. We will therefore allocate resources to each risk according to its significance in the Riskiness Index, its urgency, and its potential effects on other areas of the organization. The highest-rated risks will generally receive resources first. However, a lower-rated risk may also need immediate resources to protect customers or support essential operations. Each allocation will weigh the expected reduction of risk alongside the cost of controls.

Our main sources of support are our parent group Tiva, our own people, and third-party specialists. Internal and group resources are preferred prior to paying for external services, where they have the capacity and expertise. This approach should control costs and keep knowledge of our risks inside the organization as much as possible. Risk management will require a budget, equipment, training, and management time. A dedicated budget for risk management makes clear the intention to allocate resources to reduce our exposure by funding the controls that give the largest reduction for the lowest cost. It should also cover the equipment and systems that let staff work securely, the training that prepares staff for new responsibilities and procedures, and the management time that risk ownership will require.

Some losses may be too large or too sudden for us to absorb alone. Insurance and reinsurance transfer the financial result of these losses to other parties. As an insurer, we face the possibility that a single event can affect many of our policy holders at the same time. Reinsurance is our main protection against a sudden dramatic increase in claims. We should therefore review the insurance that protects our own operations. We cannot or should not transfer or control every risk. The risk management budget pays to prevent losses but our reserves, liquidity, and access to credit pay for the losses that we accept; and because liquidity is a concern, we should only accept the risks they can absorb.

Industry associations and other insurers will face many of the same risks that we will. When they share information, they can give early warnings of emerging threats, fraud patterns, and changes in claims trends. They can also provide benchmarks we can compare our performance against. Participation in industry networks is therefore critical to extending our knowledge of risk beyond what our own data can show and to supplementing our assessment.

SUPPORT FROM TIVA

Being a part of Tiva gives us access to specialist knowledge and expertise, and a broader range of support options. During crisis conditions and economic downturn, an independent review of our internal controls is vital. Tiva's guidance may help give our stakeholders greater confidence. Tiva may also assist with the management of our investments, liquidity, and reserves, to strengthen our financial position. However, Tiva may be limited in the support it can provide when we need it most, since it also faces pressure from the pandemic. For this reason, we should formally agree on the scope, timing, and cost of support. We should not assume that support will be available on demand.

OUR PEOPLE

It may not be possible to create a separate risk management department during the pandemic. Our immediate priority is to stabilize essential operations and make effective use of available resources. Risk management will therefore become a shared responsibility among existing staff, with additional support considerations where necessary.

Our pandemic crisis leadership team will be the main forum for risk decisions. It includes representatives from executive leadership and each functional area. An executive director will sponsor risk management at the senior level and will present risk information to the leadership team. Each manager will own the risks associated with the processes they manage. Their understanding of these processes places them in the best position to identify changes and respond to them. One member of the leadership team will coordinate risk activities across the organization and maintain the risk record, prepare reports, and help managers assess their risks. All employees will be responsible for following agreed procedures and reporting incidents.

THIRD-PARTY SPECIALISTS

We acknowledge that some risks may require expertise that is beyond the capacity of our team. In areas like security and employee health, third-party contractors can provide a level of service that we cannot generate internally. We already outsource several functions, including hosting, data backup, security advice, and legal services. We should continue to outsource areas where specialists can perform the work or help manage the risk more effectively and practically, taking cost and service continuity into account. Outsourcing does not automatically transfer the associated risk or our accountability. Our customers and regulators will hold us responsible for any failure, whether the cause is internal or external, and we hold ourselves to the same standard. Each outsourced service should therefore have a representative that monitors and reports its performance. This way we can examine the reliability of each supplier and identify the best solutions for services that are most critical during this time and in the future.

We already work with external parties who may have knowledge or risk, such as our brokers, banks, and building societies. Leveraging these relationships is key to adding to our risk resources at little additional cost, as well as using their advice, information, and assurance to maintain the quality of our services. For example, our brokers are in direct contact with many of our customers which means they can identify changes in customer needs and concerns early and inform us before misalignment escalate.

GOVERNMENT AND PUBLIC RESOURCES

Public health guidance informs our decisions about working arrangements and employee safety. Emergency services and utility providers support our recovery after weather disasters or sudden power loss. We do not control these resources but depend on them. We should therefore include them in our planning as a source of support and work with relevant authorities to maintain stability in these areas.

RISK PROTOCOLS

PURPOSE AND SCOPE

Our protocols put our risk strategy and appetite into practice. They explain how we identify, assess, manage, record, report and review risks across all departments, including remote work and activities supported by third-party providers.

These protocols will remain clear and practical, supporting essential services, employee safety, customer information and our continuing obligations. Functional managers remain responsible for their risks, while the crisis leadership team coordinates decisions within approved limits.

RANGE OF PROTOCOLS

The following protocols address the exposures identified in the Riskiness Index. Essential safeguards begin immediately; fuller procedures and testing will be developed during the first three months according to urgency, dependencies and available resources.

PROTOCOL	WHAT IT ADDRESSES	TIMING
Risk assessment standard	Identification, assessment, prioritization and review of risks	Immediate
Remote access and secure working standard	Secure access, suitable equipment and staff readiness	Immediate
Information security and data handling procedure	Access controls, confidential information and incident response	Immediate
Incident reporting and escalation procedure	Reporting routes, urgent action and approval limits	Immediate
Health, safety and wellbeing procedure	Employee safety, workload and public health guidance	Immediate
Business continuity and recovery standard	Loss of systems, network, power, premises or essential staff	Develop/test within three months
Third-party management procedure	Supplier performance, continuity, replacement and accountability	Develop within three months
Service continuity and claims handling	Claims delays, customer response and communication	Develop within three months
Financial control and liquidity procedure	Internal controls, cash forecasts and reserve monitoring	Develop within three months
Operational change procedure	Assessment, testing, approval and review of proposed changes	Immediate

* ***Interim controls begin immediately while the full procedures are developed.***

Each protocol will name an accountable owner, required actions and records. Where standards from Tiva are available and suitable, the owner may adapt them after confirming support arrangements and checking applicable federal and provincial requirements

HOW RISK ASSESSMENTS WILL BE DONE

The Riskiness Index is our starting point. Managers will use its findings to identify exposures within their own processes and assess what action is needed. The index guides further assessment; it does not automatically determine the order of work.

Managers will identify new or changing risks through discussions with staff, incident and near-miss records, service and claims reports, financial forecasts, supplier updates and control tests. With support from the risk coordinator, each assessment will describe the risk, its causes, the services and people affected, existing controls and any gaps in the information available.

Priorities will reflect the relevant Riskiness Index score, urgency, potential consequences, and effects on other departments. A lower-scored exposure may require immediate attention if it threatens customer information, employee safety, an obligation or an essential service. Managers will also consider whether one action must be completed before another and whether a shared dependency could disrupt several services at once.

For each proposed response, the owner will compare the expected reduction in exposure with the cost and resources required. This includes equipment, staff and management time, training, specialist support, implementation disruption and recurring provider costs. The assessment will consider practical alternatives and the risks that remain after each option. Necessary safeguards will not be rejected solely because their benefits cannot be expressed as immediate financial savings.

The crisis leadership team will use these assessments to agree priorities and allocate resources within its authority. Decisions outside approved risk, spending or resource limits will go to executive management. Where evidence is incomplete, the owner will record what must be confirmed and identify any interim protection needed. Assessments will be updated after significant incidents, proposed changes, supplier disruption, failed tests or anticipated breaches of limits.

HOW RISKS WILL BE MANAGED

Risk management means turning the assessment into an agreed action. The owner will recommend whether to introduce or strengthen controls, change or postpone an activity, arrange appropriate insurance or reinsurance, or retain the remaining risk within approved limits. More than one response may be needed. For example, secure remote work may require equipment, access controls, staff training and additional technical support together.

Each agreed response will have an action owner, required resources, a completion date and a way to check whether it works. The crisis leadership team will coordinate actions affecting several departments and resolve competing resource needs. Functional managers will remain responsible for implementation and for reporting obstacles or changes in exposure.

Outsourcing does not automatically transfer risk or accountability. Any insurance, reinsurance or contractual protection must be checked for its scope and limitations. Acceptance of remaining risk must consider our appetite, obligations, service needs and ability to absorb losses. A low index score or a low-cost response does not, in itself, justify accepting a risk. Controls will be tested before the team treats the expected reduction in exposure as achieved.

HOW RISKS WILL BE RECORDED

The risk record will be our central record. Each entry will identify the risk and relevant Riskiness Index reference, affected functions, risk owner, existing controls, priority and reasons for it, agreed response, resource needs, action owner, completion date and review date. It will also record remaining exposure against our approved limits, supporting evidence and any information still needed. Proposed controls will be distinguished from controls already operating and tested.

The risk coordinator will maintain the record with managers responsible for the accuracy and timeliness of their entries. We will also record incidents, decisions, approvals and exceptions, including their reasons. Records will be available to authorized staff, protected according to their sensitivity and retained in line with applicable requirements.

WEEKLY SCRUM CYCLE DURING THE FIRST THREE MONTHS

During the first three months, the crisis leadership team will use a Scrum approach with one-week sprint cycles to coordinate risk response work. The risk coordinator will organize the cycle and maintain a prioritized backlog of actions linked to the risk record. The record recounts our exposure and decisions; the backlog tracks the work needed to address them. The crisis leadership team will agree on priorities, while assigned staff carry out the actions.

Each sprint will begin with an agreed goal and actions selected by urgency, expected risk reduction, dependencies and capacity. Actions will have owners and completion criteria, supported by brief daily check-ins on progress and obstacles. End-of-week reviews will focus on completed work, test results, changing risks and unresolved issues to guide priorities and resource allocation within approved limits. A brief retrospective will identify improvements to working practices, and the coordinator will update the record, backlog and decision records.

Urgent incidents and anticipated breaches will receive immediate attention, with changes recorded and approved as required. After three months, management will review the weekly cycle against service stability, remaining risks and staff capacity.

HOW RISKS WILL BE REPORTED AND ESCALATED

Employees will report new risks, incidents, near misses and anticipated breaches to their functional manager. Managers will notify the risk coordinator and provide updates for the weekly review. The coordinator will consolidate reports for the crisis leadership team, and the executive sponsor will ensure that executive management receives significant findings and decisions requiring its approval. Consolidated reporting will be weekly during the initial three months. Any later reduction in frequency requires management approval; critical conditions remain subject to ongoing monitoring and immediate escalation.

For suspected data leaks, serious system damage or other urgent incidents, staff will immediately contact the designated response lead and their manager, using an alternate contact if either is unavailable. The reporting procedure will name these contacts; urgent action must not wait for routine reporting or a complete investigation. The coordinator will record the issue and ensure the crisis leadership team is informed.

The team may reallocate staff, activate continuity arrangements and approve changes within delegated limits. Requests exceeding risk, spending or resource limits, including asset sales outside approved plans, will be referred promptly to executive management.

HOW OPERATIONAL CHANGES WILL BE CONTROLLED

Changes to remote access, cloud services, recovery arrangements, suppliers or customer communications will follow a consistent process. The level of assessment and testing will reflect the potential consequences of the change, while maintaining the agreed approval requirements.

Describe and assess the change

The proposing manager will explain the purpose, affected services and departments, expected benefits, resource needs and implementation risks. The assessment will consider information security, employee readiness, continuity, supplier dependence, recurring costs and applicable obligations. Relevant functions will contribute before a decision is made.

Plan and test

The owner will identify the controls, training, communications and support needed. Changes will be tested on a manageable scale before wider use where practical. IT changes will include appropriate access, capacity and recovery checks. Supplier changes will include continuity and handover checks, and customer messages will be checked for accuracy, consistency and approval. A fallback or rollback plan will be documented where relevant.

Approve

The change register will include the assessment, test evidence, remaining risks and resource requirements. Changes within delegated authority will be approved by the designated manager or crisis leadership team. Changes outside approved limits will require further assessment and executive approval before proceeding.

Implement and monitor

Approved changes will be introduced in manageable stages, with named responsibility for monitoring and responding to problems. Staff and affected parties will receive the information they need. Urgent changes will still require an authorized decision, documented risks and appropriate safeguards; any deferred testing will be recorded and completed promptly.

Review the outcome

The owner will check whether the change achieves its purpose, whether controls work and whether new risks or service problems have emerged. Findings and corrective actions will be recorded in the record and sprint backlog. Significant problems will be escalated immediately rather than waiting for the next sprint review.

REVIEW AND ASSURANCE

The crisis leadership team will review progress through the weekly sprint cycle and after serious incidents, failed tests or significant changes in operating conditions. Protocols will also be reviewed at the end of the first three months. Recovery and control tests will follow an agreed schedule based on criticality and will be repeated after material changes where needed.

Failed tests will be recorded, assessed and assigned corrective actions, with immediate escalation where continuity or approved limits are threatened. Independent review of internal controls may draw on Tiva or specialist support once its availability, scope and terms are confirmed. Review findings will be tracked until corrective actions have been verified. Temporary arrangements that work well will be considered for ongoing use.

MEASURES AND EVIDENCE

The following measures will show whether our response is improving continuity and control. Departmental owners will provide evidence to the risk coordinator for weekly reporting. Finance will agree financial definitions and limits with those responsible for Risk Resources. Critical conditions will be monitored between reports, with immediate escalation when an approved limit is threatened.

MEASURE	DEFINITION AND EVIDENCE	OWNER	BASELINE OR TARGET
Service availability	% of required hours available; outage duration and impact. Monitoring and incident logs.	IT	Required hours, current availability, outage and recovery limits.
Claims and response times	Outstanding claims by number and age; enquiry response times. Claims and service records.	Claims & customer support	Normal volumes, processing times, capacity and service obligations to set delay limits.
Secure remote access	% of remote staff with approved equipment, access and training. Access, equipment and training records.	IT and managers	Eligible staff and current compliance; security checks before access.
Essential-role coverage	Roles with trained, available backups; coverage gaps. Staffing and training records.	Managers and HR	Essential roles, available backups and minimum coverage.
Liquidity	Forecast cash against claims and essential payments. Cash-flow forecasts and financial records.	Finance	Cash balances, forecast assumptions, commitments and minimum cash levels.
Pandemic costs	Actual and committed spending against budget, including recurring costs. Budget and invoice records.	Finance and resource owners	Budgets, spending authority and forecast overruns.
Control and recovery tests	Pass/fail results and unresolved actions by age. Control, backup and recovery test records.	IT and control owners	Current results, test frequency, pass criteria and recovery limits; escalate critical failures.
Supplier continuity	Service failures, disruptions and replacement readiness. Supplier reports, contracts and logs.	Supplier owners	Critical services, service levels, current performance and viable alternatives.

At the first sprint planning session, each owner will identify available baseline information and assign any missing data collection. Proposed targets, monitoring frequency and escalation thresholds will be submitted to management for approval. Interim safeguards will remain in place while evidence is gathered. Performance targets will track improvement; approved limits will determine when management attention or approval is required.



APPENDIX

REGULATORY REQUIREMENTS & REFERENCE LINKS

FINTRAC — Financial Transactions and Reports Analysis Centre of Canada

FSRA — Financial Services Regulatory of Ontario

PIPEDA — Personal Information Protection and Electronic Documents Act

OSFI — Office of the Superintendent of Financial Institutions